

Elevate Creative Group

Chart of Accounts Design and Account Mapping

Document Type: Chart of Accounts Design and Account Mapping

Business: Elevate Creative Group

Accounting Basis: Accrual Basis

Reporting Currency: USD

Fiscal Year-End: December 31

Table of Contents

Elevate Creative Group.....	1
Chart of Accounts Design and Account Mapping	1
1. Purpose of the Document	2
2. Chart of Accounts Design Principles	2
3. Account Numbering Structure	2
4. Account Structure	3
4.1 Assets	3
4.1.1 Current Assets	3
4.1.2 Fixed Assets	3
4.2 Liabilities	4
4.3 Equity	4
4.4 Revenue.....	5
4.4.1 Revenue Structure.....	5
4.4.2 Revenue Account Design Principle.....	5
4.5 Treatment of Default QuickBooks Revenue Accounts	5
4.6 Cost of Sales and Direct Project Costs.....	6
4.7 Operating Expenses.....	7
4.8 Account Mapping Framework.....	8
4.9 Customer and Vendor Tracking	8
4.10 Chart of Accounts Maintenance.....	9
4.11 Chart of Accounts Review During Month-End Close.....	9
5. Conclusion	9

1. Purpose of the Document

This document defines the structure, organization, and intended use of the Chart of Accounts for Elevate Creative Group.

The Chart of Accounts provides the framework for classifying and reporting the company's financial transactions. It has been designed to support the company's service-based business model while providing sufficient detail for financial reporting, management analysis, reconciliations, and month-end close procedures.

The chart of accounts is designed to balance two objectives:

- *Accurate classification of transactions*
- *Useful financial reporting without unnecessary complexity*

Accounts that do not apply to Elevate Creative Group's business model will not be used solely because they are included in the default QuickBooks Online chart of accounts.

2. Chart of Accounts Design Principles

The Chart of Accounts has been designed according to the following principles:

- **Relevance**

Accounts should reflect the actual activities and financial structure of Elevate Creative Group.

- **Consistency**

Similar transactions should be recorded in the same account consistently.

- **Appropriate level of detail**

The chart should provide sufficient detail to understand the business's financial performance without creating unnecessary accounts.

- **Financial reporting usefulness**

Accounts should support the preparation and analysis of:

- *Profit and Loss Statements*
- *Balance Sheets*
- *Cash Flow Statements*
- *Accounts Receivable Aging Reports*
- *Accounts Payable Aging Reports*
- *Management reports*

- **Scalability**

The structure should allow the business to grow without requiring a complete redesign of the chart of accounts.

3. Account Numbering Structure

Account numbers are assigned according to the following structure:

Account Range	Account Type
1000–1999	Assets
2000–2999	Liabilities
3000–3999	Equity
4000–4999	Revenue
5000–5999	Cost of Sales / Direct Costs
6000–6999	Operating Expenses
7000–7999	Other Income and Expenses, if applicable

The account numbering structure provides a logical framework for organizing the general ledger and makes the chart of accounts easier to navigate.

4. Account Structure

4.1 Assets

Assets represent resources controlled by Elevate Creative Group that are expected to provide future economic benefit.

4.1.1 Current Assets

Account	Purpose
Checking Account	Primary operating bank account
Savings Account	Business savings or reserve funds, if applicable
Accounts Receivable	Amounts owed by customers for services provided
Prepaid Expenses	Payments made in advance for future benefits

Examples of transactions recorded in current asset accounts include:

- Customer invoices create Accounts Receivable.
- Customer payments reduce Accounts Receivable.
- Annual insurance paid in advance may initially be recorded as a Prepaid Expense.
- The prepaid amount is expensed as the related benefit is consumed.

4.1.2 Fixed Assets

Account	Purpose
Computer Equipment	Qualifying computers and technology equipment
Office Equipment	Qualifying long-term office equipment

Account	Purpose
Accumulated Depreciation	Contra-asset account used to accumulate depreciation

Fixed assets will be recorded separately from routine operating expenses when they meet the company's capitalization policy.

4.2 Liabilities

Liabilities represent obligations owed by Elevate Creative Group to external parties.

Account	Purpose
Accounts Payable	Amounts owed to vendors for bills received
Credit Card Payable	Outstanding business credit card balances
Accrued Expenses	Expenses incurred but not yet paid or invoiced
Customer Deposits / Deferred Revenue	Amounts received before related services are performed
Business Loan Payable	Outstanding principal on business financing

The liability structure allows the company to distinguish between:

- Amounts owed to vendors
- Amounts owed to credit card providers
- Expenses incurred but not yet paid
- Customer funds received before revenue is earned
- Financing obligations

4.3 Equity

Equity represents the owner's financial interest in the business.

Account	Purpose
Owner's Capital	Contributions made by the owner to the business
Owner's Drawings / Distributions	Withdrawals or distributions made by the owner
Retained Earnings	Cumulative earnings retained in the business, where applicable

Personal expenses of the owner will not be recorded as operating expenses of Elevate Creative Group.

4.4 Revenue

Elevate Creative Group is a service-based business. Revenue accounts have therefore been structured around the company's primary service offerings.

The existing general revenue account may be used as the parent account, with separate subaccounts used to track the company's major revenue streams.

4.4.1 Revenue Structure

Income / Revenue

- *Brand Strategy & Consulting*
- *Creative Services*
- *Video Production*
- *Photography*
- *Graphic Design Services*
- *Social Media Management*
- *Discounts and Refunds*

These accounts allow management to evaluate revenue by service category.

- For example, revenue generated from a branding engagement should be recorded under **Brand Strategy & Consulting**, while revenue from social media management should be recorded under **Social Media Management**.

The objective is to provide meaningful revenue analysis without creating a separate account for every individual client or project.

4.4.2 Revenue Account Design Principle

Customers and projects should generally be tracked through the appropriate QuickBooks customer and project functionality rather than by creating a new revenue account for every customer.

For example:

Incorrect approach:

Create a separate revenue account for every customer.

Preferred approach:

Use service-based revenue accounts and track individual customers through customer records and project functionality.

This maintains a cleaner and more scalable general ledger.

4.5 Treatment of Default QuickBooks Revenue Accounts

QuickBooks Online may provide default revenue accounts such as:

- Sales - Retail
- Sales - Wholesale
- Sales of Product Income
- Service/Fee Income
- Other Income

These accounts are not automatically relevant to every business.

Because Elevate Creative Group is a professional services business, **Sales - Retail** and **Sales - Wholesale** are not currently applicable to the company's business model.

Recommended treatment

The following approach should be used:

Default Account	Treatment
Sales - Retail	Do not use; hide or delete if appropriate
Sales - Wholesale	Do not use; hide or delete if appropriate
Sales of Product Income	Do not use unless the business begins selling products
Service/Fee Income	Use only if required by the chosen account structure
Other Income	Reserve for income outside normal operating activities

The existing revenue structure should be kept focused on the actual services provided by Elevate Creative Group.

Important accounting principle

An account should exist because it serves a reporting or accounting purpose—not because it happens to be included in the software's default chart of accounts.

If the business later expands into product sales, the chart of accounts can be updated at that time.

4.6 Cost of Sales and Direct Project Costs

Although Elevate Creative Group is a service-based business, certain costs may be directly attributable to the delivery of client projects.

Examples include:

- Freelance designers hired specifically for a client project
- Specialized contractors engaged for a particular project
- Direct project production costs

These costs may be recorded under:

Cost of Sales / Direct Project Costs

- Freelance Contractor Costs
- Direct Project Costs

The purpose of this section is to distinguish costs directly associated with delivering client work from general business operating expenses.

For example:

A freelance web developer hired specifically to complete a client's website project may be recorded as a direct project cost.

A general administrative consultant hired to improve the company's internal operations may be recorded as an operating expense.

This distinction supports the analysis of gross profit and project profitability.

4.7 Operating Expenses

Operating expenses represent costs incurred to operate and administer the business.

The proposed expense structure includes:

Personnel and Professional Services

- Contractor Expenses — General
- Professional Fees

Technology and Communications

- Software Subscriptions
- Internet and Telecommunications

Marketing and Business Development

- Advertising and Marketing
- Business Development

Facilities and Administration

- Rent
- Office Supplies
- Insurance
- Travel and Transportation

Banking and Finance

- Bank Charges
- Credit Card Fees

Depreciation

- Depreciation Expense

Operating expenses should be recorded based on their economic nature and should not be classified according to the vendor's name alone.

For example:

A payment to Adobe may be a software subscription.

A payment to a marketing agency may be an advertising expense.

A payment to a freelance designer may be a direct project cost or general contractor expense depending on the nature of the work.

4.8 Account Mapping Framework

The following framework will be used when classifying transactions:

Transaction Type	Account Classification
Client invoice for branding work	Brand Strategy & Consulting Revenue
Client invoice for website development	Website Design & Development Revenue
Client payment	Accounts Receivable / Bank
Client deposit before work begins	Customer Deposits / Deferred Revenue
Project-specific freelance designer	Direct Project Costs
General administrative contractor	Contractor Expenses — General
Monthly software subscription	Software Subscriptions
Annual insurance paid in advance	Prepaid Expenses
Computer purchased for long-term use	Computer Equipment
Monthly depreciation	Depreciation Expense
Vendor bill received but unpaid	Accounts Payable
Bank service charge	Bank Charges
Transfer between company bank accounts	Transfer between bank accounts

4.9 Customer and Vendor Tracking

The Chart of Accounts will not be used to create unnecessary accounts for individual customers or vendors.

Customer-level information will be maintained through the customer records in QuickBooks Online.

Vendor-level information will be maintained through the vendor records in QuickBooks Online.

This separation allows:

- Revenue to be reported by service category.
- Customer balances to be analysed by individual customer.
- Expenses to be reported by account category.
- Vendor activity to be reviewed by individual vendor.

This is preferable to creating separate general ledger accounts for every customer or vendor.

4.10 Chart of Accounts Maintenance

The Chart of Accounts will be reviewed periodically to ensure that it remains appropriate for the business.

New accounts may be created when:

- A new material business activity begins.
- An existing account no longer provides sufficient reporting detail.
- A new accounting requirement arises.

New accounts should not be created merely because a transaction is unusual or because a vendor has a unique name.

Before creating a new account, consideration should be given to whether the transaction can be appropriately recorded in an existing account.

Unused accounts should be reviewed and, where appropriate, made inactive to prevent accidental use.

4.11 Chart of Accounts Review During Month-End Close

The Chart of Accounts will be reviewed as part of the month-end close process.

The review will consider:

- Uncategorized transactions
- Transactions posted to inappropriate accounts
- Unusual balances
- Duplicate accounts
- Accounts with unexpected activity
- Transactions requiring reclassification

The objective is to ensure that the general ledger remains accurate, consistent, and useful for financial reporting.

5. Conclusion

The Chart of Accounts for Elevate Creative Group has been designed to reflect the company's service-based business model while maintaining a practical level of detail.

The structure separates:

Assets → Liabilities → Equity → Revenue → Direct Costs → Operating Expenses

Revenue is tracked by major service category, while customers and vendors are managed through QuickBooks Online's dedicated customer and vendor records.

The Chart of Accounts will be used consistently throughout the engagement and will support:

Transaction Processing → Reconciliation → Month-End Close → Financial Reporting → Management Analysis